HANGS Construction Services LLC

2150 Harbor Ridge Ave S, Suite 300, Seattle, WA 98134

ESTIMATE REVISION

Job J-2617 Tideflats Cold Storage · memo of September 30, 2026 · Owen Strand, Project Manager

Estimated total cost at June 30, 2026:	**$16,284,000.00**
Estimated total cost at September 30, 2026:	**$17,480,000.00**
Increase:	**$1,196,000.00**
Cost to date at June 30, 2026:	**$1,628,400.00**
Cost incurred July 1 to September 30, 2026:	**$3,965,200.00**
Contract:	**$18,400,000.00**

What happened

On August 3, 2026 the insulated metal panel supplier gave notice of a 9% price increase on orders shipped after August 15, 2026. Our remaining panels ship in September and October.

On August 11, 2026 the special inspector found cracking in 14 tilt-up wall panels cast between July 27 and August 6, 2026. The precaster is recasting them; we have a backcharge claim against the precaster, not recorded.

Neither condition existed at June 30, 2026: no panel for this job had been cast or ordered at the new price by then. The June 30 estimate was prepared on June 26 from the signed subcontracts and the supplier’s price list then in force.

Breakdown of the increase: panel recasting and crane time $742,000.00; insulated metal panel price $386,000.00; general conditions for 3 added weeks $68,000.00.

The job still expects a profit: $920,000.00 on the contract, 5.0%.

Demonstration document. Every name and figure is invented.